Since risk and return are related, the manager then looks as if he outperforms peers given the risk he takes. Typically, the kinds of risks that can most easily be concealed, given the requirement of periodic reporting, are 'tail' risks – that is, risks that have a small probability of generating severe adverse consequences and offer generous compensation the rest of the time. A second type is to herd with other investment managers on investment choices, because herding provides insurance the manager will not underperform his peers. However, herd behaviour can move asset prices away from fundamentals.

Both behaviours can reinforce each other during an asset price boom, when investment managers are willing to bear the low probability 'tail' risk that asset prices will revert to fundamentals abruptly, and the knowledge that many of their peers are herding on this risk gives them comfort that they will not underperform significantly if boom turns to bust. These behaviours can be compounded in an environment of low interest rates, where the incentives of some participants to 'search for yield' not only increase, but where asset prices also spiral upwards, creating the conditions for a sharp and messy realignment.

Do banks add to this behaviour or restrain it? The compensation of bank managers, while not so tightly tied to returns, has not been left completely untouched by competitive pressures. Banks make returns both by originating risks and by bearing them. As traditional risks such as mortgages or loans can be moved off bank balance sheets into the balance sheets of investment managers, banks have an incentive to originate more of them. Thus they will tend to feed rather than restrain the appetite for risk. As I argued earlier, however, banks cannot sell all risk. In fact, they often have to bear the most complicated and volatile portion of the risks they originate, so even though some risk has been moved off their balance sheets, balance